

US Section 301 Tariffs on Brazil — Impact Assessment for TrueSight DAO

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Executive Summary

On July 15, 2026, the USTR finalized a **25% tariff** on most Brazilian imports, effective July 22, 2026. This report assesses the impact on TrueSight DAO's mission to **restore 10,000 hectares of Amazon rainforest** through regenerative cacao supply chains in Bahia, Brazil.

Key finding: Cacao is EXEMPT from the tariff. Our core product faces no direct cost increase. However, the broader trade environment creates strategic implications we should address.

1. What Happened

Detail	Value
Tariff rate	25% additional duty
Effective date	July 22, 2026
Legal basis	Section 301, Trade Act of 1974
Investigation started	July 15, 2025
Six cited issues	Digital trade & Pix, preferential tariffs, anti-corruption, IP protection, ethanol access, illegal deforestation

The tariff applies to all Brazilian goods **not listed in the exemption Annex**. The Section 122 surcharge (10%) stacks on top for 4 days (July 22–25), then expires.

2. Cacao Status: EXEMPT ■

The full Chapter 18 of the HTSUS is exempt:

HTS Code	Product	Status
1801.00.00	Cocoa beans, raw or roasted	Exempt
1802.00.00	Cocoa shells, husks, waste	Exempt
1803.10.00	Cocoa paste, not defatted	Exempt
1804.00.00	Cocoa butter, fat and oil	Exempt

HTS Code	Product	Status
1805.00.00	Cocoa powder	Exempt

Why exempt: The US does not grow cacao at commercial scale. USTR's criteria include products that "cannot be grown or produced in sufficient quantities in the United States or obtained from other sources." Cacao fits perfectly.

No tariff impact on our landed cost for ceremonial cacao imports.

3. The Pix Angle — Why It Matters

Pix, Brazil's central bank-run instant payment system, was cited **20+ times** in the USTR determination. This is the **first Section 301 case ever** to target a domestic payment system as a trade issue.

Four US complaints against Pix:

1. Mandatory participation by large financial institutions
2. Prominent placement mandated in banking apps
3. Free for individuals, capped fees — below-market pricing
4. Private firms bear fraud/compliance costs without control

What this means for us: While we don't use Pix directly, this sets a precedent. State-run digital infrastructure is now a trade-war target. This is a **tailwind for decentralized alternatives** — our DApp and blockchain traceability become more strategically valuable.

4. The Deforestation Connection

One of the six cited issues is **illegal deforestation** in the Amazon and Cerrado. USTR cited:

- 91% of Amazon deforestation (2023–2024) was illegal
- 51% of Cerrado land clearing was illegal
- Brazil exported \$19B in forest-risk commodities in 2019

This is where TrueSight DAO's value proposition shines. Our blockchain-verified, regenerative agroforestry cacao is the **antithesis** of the practices the US is targeting. Our traceability system (TrueChain) provides proof of deforestation-free production — a competitive advantage that could qualify for preferential treatment in future trade actions.

5. Strategic Implications

Opportunities

- **Traceability as a tariff shield:** Proven deforestation-free supply chains may gain preferential access as US enforcement tightens
- **Decentralized payments tailwind:** The Pix precedent strengthens the case for blockchain-based payment rails
- **Narrative alignment:** The US is penalizing deforestation — we are solving it. This strengthens our positioning with US-based partners and customers
- **Cacao exemption is durable:** Raw agricultural commodities not grown domestically are unlikely to be added to the tariff scope

Risks to Monitor

- **Brazilian retaliation:** Brazil has invoked its Economic Reciprocity Law, potentially targeting US digital services — could affect Stripe/payment costs in Brazil
- **Forced labor Section 301 probe:** A separate investigation concluding July 24 could add 12.5% on cacao supply chains. West African cocoa is explicitly named; Brazil's status is unclear
- **Section 122 overlap:** July 22–25 sees both 10% (122) and 25% (301) stacking, but cacao is exempt from the 301, so only the 122 applies — and it expires in days
- **Currency risk:** Real depreciation against USD could affect farmer pricing and our purchasing power

6. Recommended Actions

1. **Document our deforestation-free provenance** — Ensure every batch of cacao has its blockchain trail complete. This is our tariff-mitigation asset
2. **Monitor the forced labor 301 probe** — File comments if Brazil-origin cacao is proposed for inclusion
3. **Prepare a one-pager for US retail partners** — Explaining why our cacao is exempt and how our supply chain aligns with US trade objectives
4. **Review Brazil-side payment infrastructure** — Assess exposure if Brazil retaliates against US digital payment providers
5. **Factor tariff stability into pricing** — The exemption is durable but not guaranteed; build flexibility into US-market contracts

7. Bottom Line

No immediate impact on our cacao imports. The 25% tariff exempts cocoa beans entirely. The broader trade environment actually **reinforces our strategic position** — regenerative, traceable, deforestation-free supply chains are exactly what this trade action incentivizes.

The mission to restore 10,000 hectares of Amazon rainforest is not just compatible with this new trade reality — it is **directly aligned** with it.

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Sources: USTR Federal Register Notice (June 1 & July 15, 2026), Green Worldwide Shipping, EY Tax News, Atlantic Council, Global Trade Alert